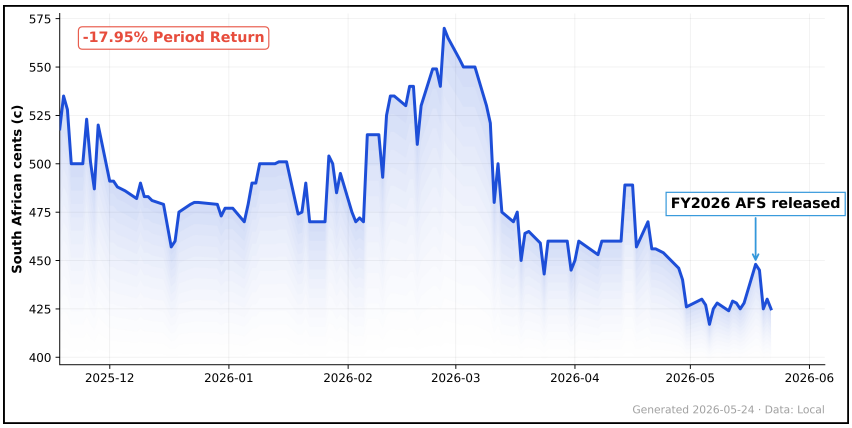
Calgro M3 Holdings Limited (JSE: CGR) Equity Research Report - May 2026



Calgro M3 (JSE: CGR) has structurally transitioned from a traditional construction contractor into a full-lifecycle township developer, specialising in Integrated Residential Developments (IRD) and private Memorial Parks across South Africa. The group's long-term growth thesis is anchored by its flagship Bankenveld District Project, a mega-development projected to yield R18 billion in lifetime revenue.

Operationally, the group has experienced a deliberate deceleration in top-line revenue growth, followed by a recent stabilisation (2.8% growth in FY2026), all while maintaining robust underlying margins. This trajectory is a function of strict capital discipline, with management aggressively reallocating capital to seed the Bankenveld pipeline while navigating macroeconomic headwinds that necessitate careful project timing. Gross margin has structurally expanded from 21.3% in FY2022 to settle at 27.2% in FY2026, despite severe revenue contractions in the interim periods - a counterintuitive outcome that reflects deliberate quality-over-volume capital allocation rather than operational deterioration.

Market sentiment soured during the capital-intensive phase of the Bankenveld rollout, triggering a derating that has pushed the stock to a 65.9% discount to its tangible net asset value (NAV). This discount reflects the market pricing in on the front-loaded capital expenditure for the initial phase of Bankenveld alongside the inevitable gestation period before that deployment generates compounding revenue streams.

This analysis posits that the market is excessively discounting the group's fundamental risk-mitigation layers. By over-indexing near-term debt accumulation, consensus sentiment overlooks the highly predictable, cash-generative nature of Calgro's mature IRD projects and its Memorial Parks annuity segment - both of which floor downside risk by partially offsetting the Bankenveld capital outlay. The current pricing presents an asymmetric risk-reward profile for patient investors willing to absorb medium-term balance sheet friction while the flagship project gains operational velocity.

2. Company Profile

- **Sector:** Property Development - Integrated Residential and Memorial Parks
- **JSE Ticker:** CGR
- **Market Capitalisation:** R480m
- **Core Business:** Full-lifecycle township developer managing land acquisition, bulk infrastructure installation, unit construction, and transfer across affordable, social, and open-market housing precincts.
- **Operations:** Primary concentration in Gauteng, with additional exposure in the Western Cape, Free State, and the North-West.
- Calgro M3's transition from pure construction contractor to developer is strategically significant as the group now controls the entire operational chain, capturing margin at every stage from raw land through to title deed transfer. This vertical integration underpins the structural margin expansion seen across recent reporting periods and positions the group to benefit disproportionately from macro tailwinds as they materialise.

3. Key Projects and Cycle Positioning

- Bankenveld District City: A mega-development joint venture with Eris Property Fund, located in Johannesburg North adjacent to the Marlboro Gautrain station between Sandton and Waterfall City. Projected 20,000 to 30,000 housing opportunities across affordable, social, and open-market precincts. Modelled on a conservative average selling price of R800,000 per unit, intensive infrastructure CAPEX is budgeted for the FY2026-2028 window.

- Fleurhof and South Hills: Active IRD projects in Gauteng currently in their delivery and peak phases. These include the legacy Hill Estate, Grand Views, Skyline Views, and Olive Tree sub-developments. With a combined remaining pipeline of approximately R8.3 billion, these projects are generating positive cumulative free cash flow from the current period.

- Memorial Parks: Six parks at varying stages of maturity - Nasrec, Fourways, Durbanville, Enokhutula, Rustenburg, and Platinum City. This segment provides an annuity income model scaling toward R150 million in steady-state annual revenue, becoming heavily cash-generative and capital-light once established.

- Land Pipeline: Over 2,500 serviced land opportunities ready for development as of late 2025, providing a multi-year runway of identified projects beyond the current active portfolio.

4. Key Metrics

- EV/EBITDA: At 11.79x (FY2026), Calgro trades competitively relative to its historical averages, reflecting execution risk being priced into the equity rather than deteriorating operating quality. With operating margins holding firm at 19.1%, the multiple compression is a function of timing rather than structural impairment.

- Net Debt/EBITDA: Net debt has risen to R1.20 billion in FY2026. At 5.77x EBITDA, this leverage level is highly elevated. The trajectory is the primary concern - debt is expanding (up R274.5m YoY) at the precise moment the group is executing its most capital-intensive phase. This is manageable provided the rate environment eases and Bankenveld revenue begins recognising by FY2028 as modelled.

- Interest Coverage: Note: The severe cash-coverage pressures seen in FY2025 have recovered. In FY2026, operating profit of R171m comfortably covers finance costs of R43.5m, yielding an improved interest coverage ratio of 3.93x. However, because the absolute gross debt load is large (R1.38 billion), the balance sheet remains heavily sensitive to the macro environment. Management has explicitly stated that a 100-basis point reduction in the repo rate is the threshold condition for materially de-risking debt serviceability.

- Current Ratio & Liquidity: Note: The optical working capital deficit has inverted. The Current Ratio now stands at 2.02x (current assets of R801.5m against current liabilities of R396.6m). However, this is largely an accounting reclassification artifact rather than a true liquidity windfall. R1.49 billion in development inventory was structurally shifted into non-current Construction Contracts to match the extended gestation of the Bankenveld pipeline. Stripping this out, the Quick Ratio sits at 0.87x, underscoring that near-term liquidity remains tight and heavily reliant on inventory conversion.

- NAV per Share vs Market Price: Tangible book value stands at R1.41 billion. Calculated on the implied base of 111.6 million shares (derived from the R480m market cap at 430c), Tangible NAV is 1,262 cents per share. This represents a 65.9% discount to NAV. While developers naturally trade at discounts to unrecognised inventory, this gap is excessively wide relative to the fundamental quality of the pipeline. As Bankenveld moves from the infrastructure phase to revenue recognition, this discount represents the primary re-rating mechanism for the equity.

- Inventory to Total Assets: Combined Development Assets (Inventory plus Construction Contracts) currently consume 69.5% (R2.56 billion) of the R3.69 billion total asset base. This concentration is both the primary risk

- inventory that fails to convert is a stranded asset - and the primary upside, as successful conversion at modelled margins produces returns well in excess of current market pricing.

Interest Rate Sensitivity

The table below illustrates the sensitivity of Calgro's interest coverage ratio and consumer affordability for a representative R800,000 Bankenveld unit to changes in the SARB repo rate, anchored to the current 6.75% baseline.

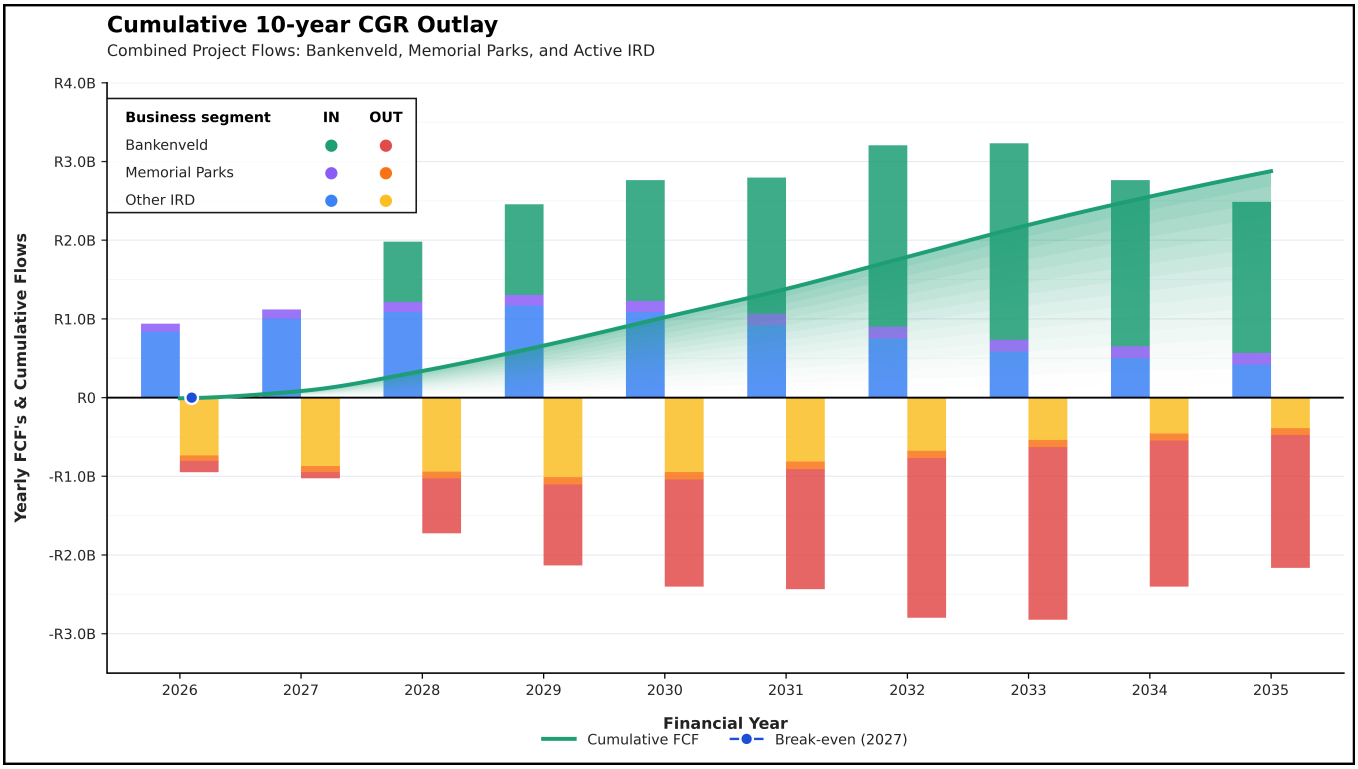
Repo Rate	vs Current (6.75%)	Est. Interest Coverage	R800k Monthly Bond (Prime)
7.25%	+0.50%	3.39x	R 8,122
6.75%	Base	3.93x	R 7,853
6.25%	-0.50%	4.67x	R 7,588
5.75%	-1.00%	5.76x	R 7,327

Management stated that a 1% relief threshold maps directly to the 5.75% row. At this level, monthly repayments on an R800,000 unit fall to R7,327, materially expanding the addressable buyer pool for Bankenveld's open-market units and accelerating the probability of revenue recognition within the modelled FY2028-FY2030 window.

Capital Allocation: Dividends and Buybacks

During FY2026, Calgro declared dividends and conducted share buybacks (a combined distribution of approximately R20.7m). While the group generated R171m in operating profit to comfortably cover these distributions on an income basis, total borrowings simultaneously expanded by R274.5m to fund the development pipeline. Finding: These distributions were structurally funded by increasing the balance sheet's net debt profile. Returning capital to shareholders while simultaneously drawing down debt during the peak of a capital burn cycle introduces unnecessary liquidity friction, warranting a slightly more conservative position size despite the mechanical EPS benefits of the buyback.

5. J-Curve Analysis

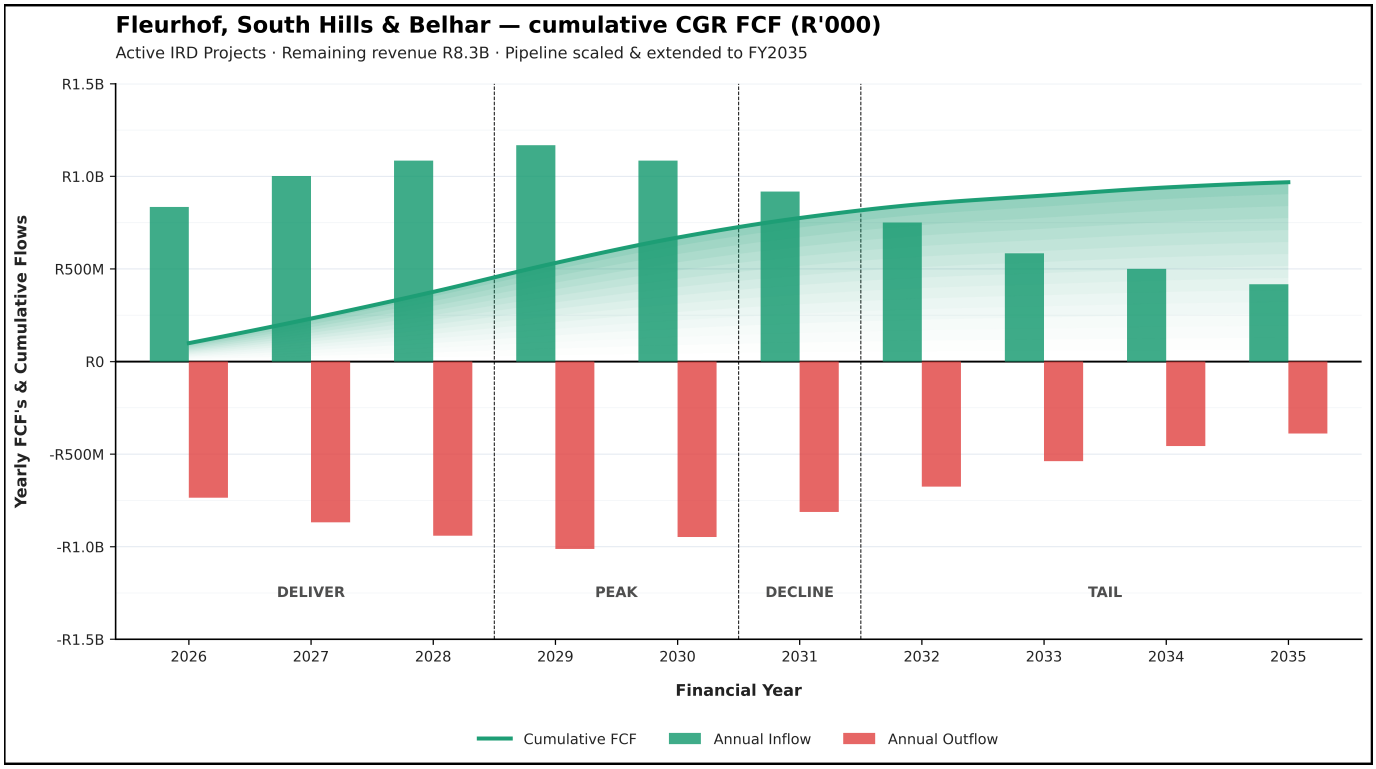


This section maps Calgro M3's project portfolio through a cash-flow lifecycle framework rather than a consolidated accounting lens.

Because the core IRD segment (91% of revenue) requires an intensive 18 to 36-month conversion cycle between breaking ground and final unit delivery, evaluating this business through standard backward-looking financial metrics leads to mispricing. Under IFRS, a developer's income statement is a lagging indicator - recognising value only when a deed transfers. Traditional annual reports therefore capture lumpy earnings, high upfront capital expenditure, and depressed short-term margins that mask underlying operational momentum.

The consolidated J-curve aggregates all three project streams, showing the portfolio crossing cumulative break-even in FY2027 and compounding toward approximately R2,88 billion in free cash flow by FY2035. The staggered inflection points mean the group is never fully dependent on a single project converting simultaneously.

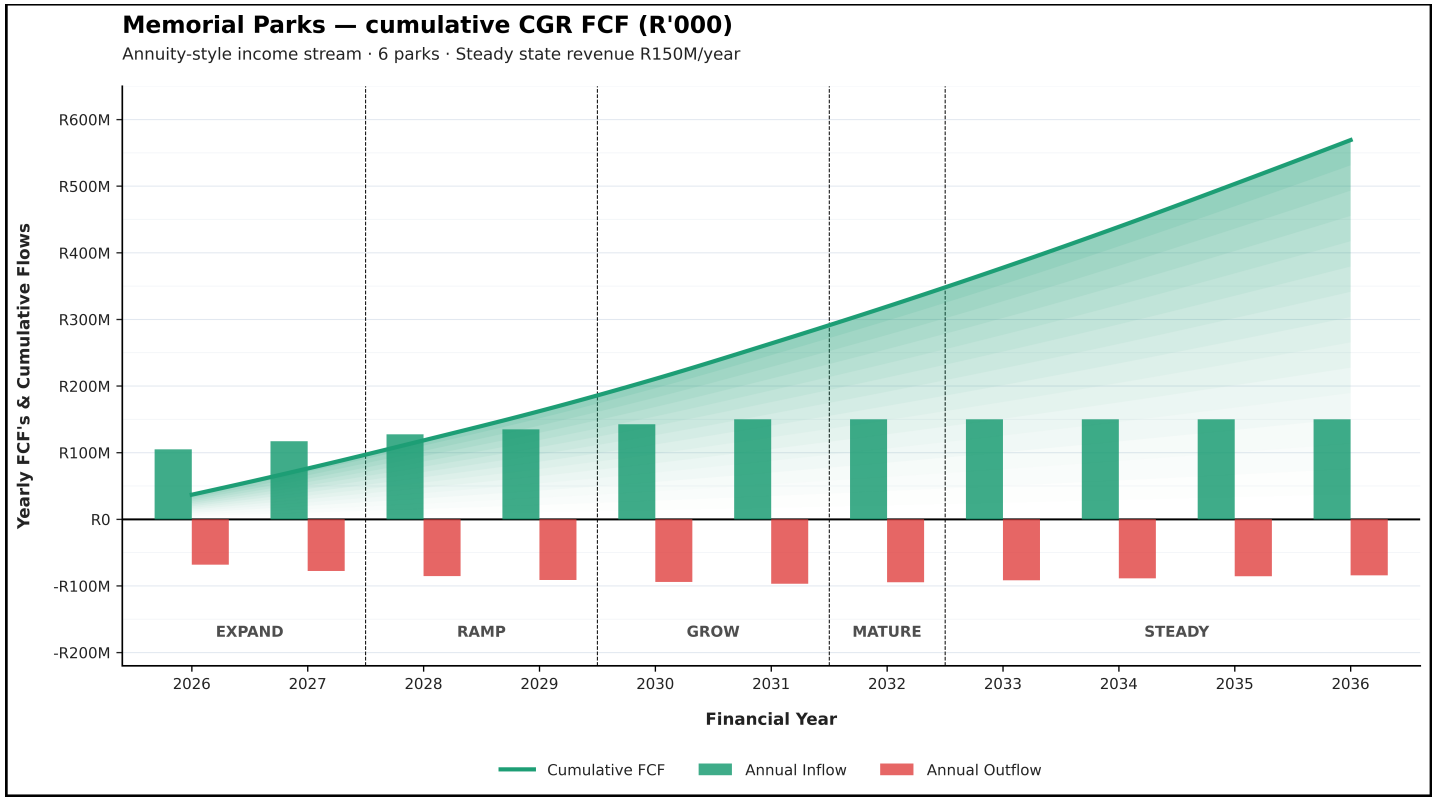
5.1 Fleurhof, South Hills and Belhar



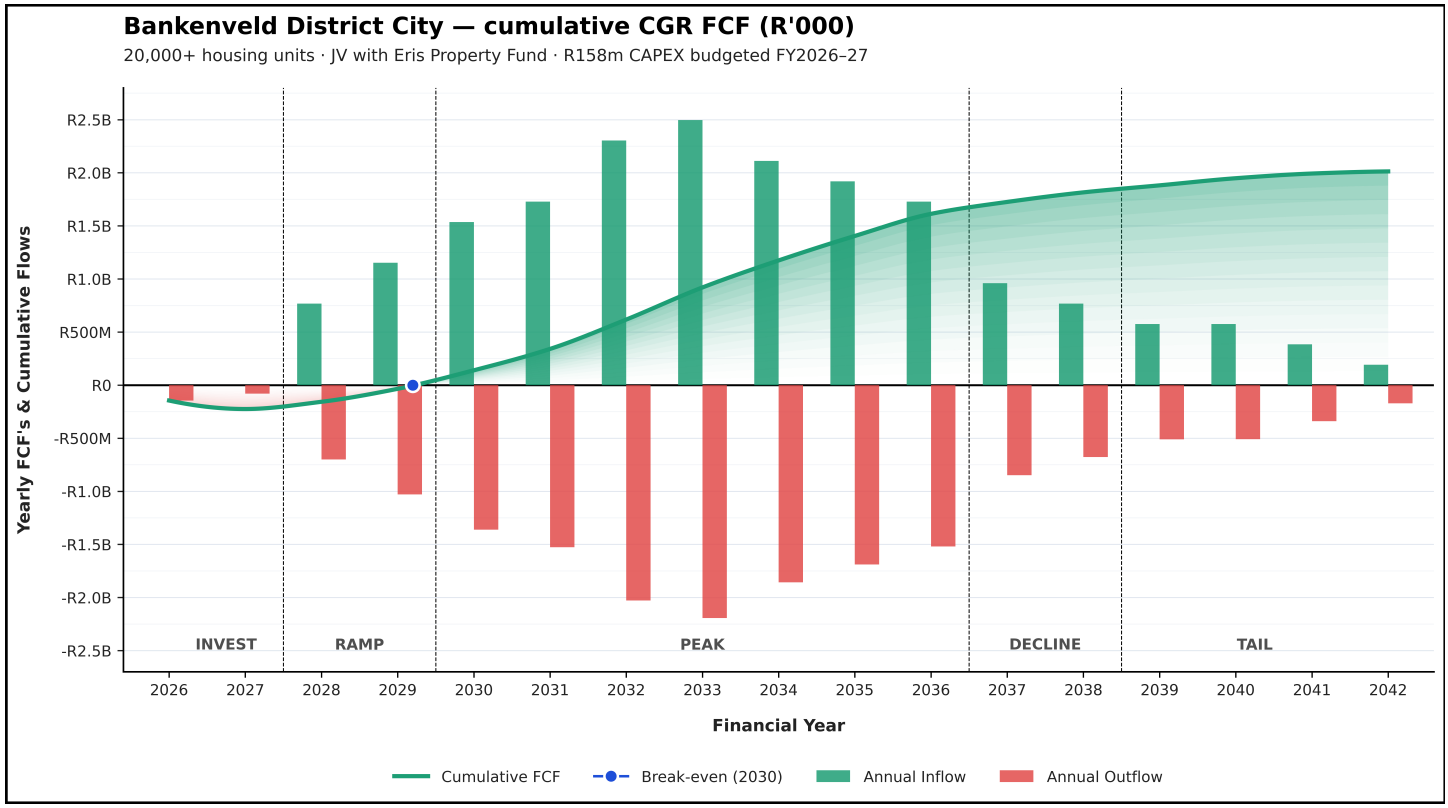
These active IRD projects are deep into their maturity phases and function as the group's operational cash generators, having fully cleared their initial bulk infrastructure cycles. They generate positive cumulative free cash flow from the current period onward, funding and de-risking the broader capital reallocation toward Bankenveld. Management's execution discipline is evident: 70% of units transferred in FY2026 originated from trading out of legacy developments, channelling liquidity back into the balance sheet.

5.2 Memorial Parks

This segment acts as a portfolio stabiliser, progressively diversifying group earnings away from the cyclical nature of property development. With five parks scaling toward R150 million in steady-state annual revenue, the segment provides a predictable, defensive annuity stream that floors downside risk. The segment model reflects that it is immediately cash generative in the projection window, acting as a capital inflow for other projects.



5.3 Bankenveld District Project



Bankenveld represents the high-conviction, long-duration strategic bet. Located directly between the Sandton and Waterfall City economic hubs, the project targets over 20,000 residential units. Structural execution risk is mitigated through a 50/50 joint operation with Eris Property Group, splitting foundational infrastructure costs.

Intensive bulk infrastructure expenditure (arterial roads, connector paths, and bridges) is budgeted across FY2026 to FY2028, demanding an initial cash burn before crossing technical break-even in FY2030. Post break-even, the initial phase is expected to yield approximately 6,000 serviced opportunities, driving compounding free cash flow toward R2 billion over the project's lifecycle through FY2042. At current market pricing, this long-duration value is entirely unpriced. The market is pricing the burn phase; the thesis is that it is ignoring the recovery.

6. Risk Analysis

6.1 Macro Risks

- SARB Monetary Policy: The SARB's stance (currently holding at 6.75%) is the most significant external variable. A repo rate increase to 7.25% or higher would simultaneously increase debt servicing costs, compress consumer affordability, and delay Bankenveld revenue recognition.

- GDP Trajectory: GDP contraction reduces household income growth and government subsidy availability, severely dampening demand for affordable housing.

- Institutional Risk: Uncertainty around Urban Settlement Development Grants and municipal bulk infrastructure capacity may defer funding timelines and extend the Bankenveld capital burn beyond the modelled FY2027 trough.

6.2 Company-Specific Risks

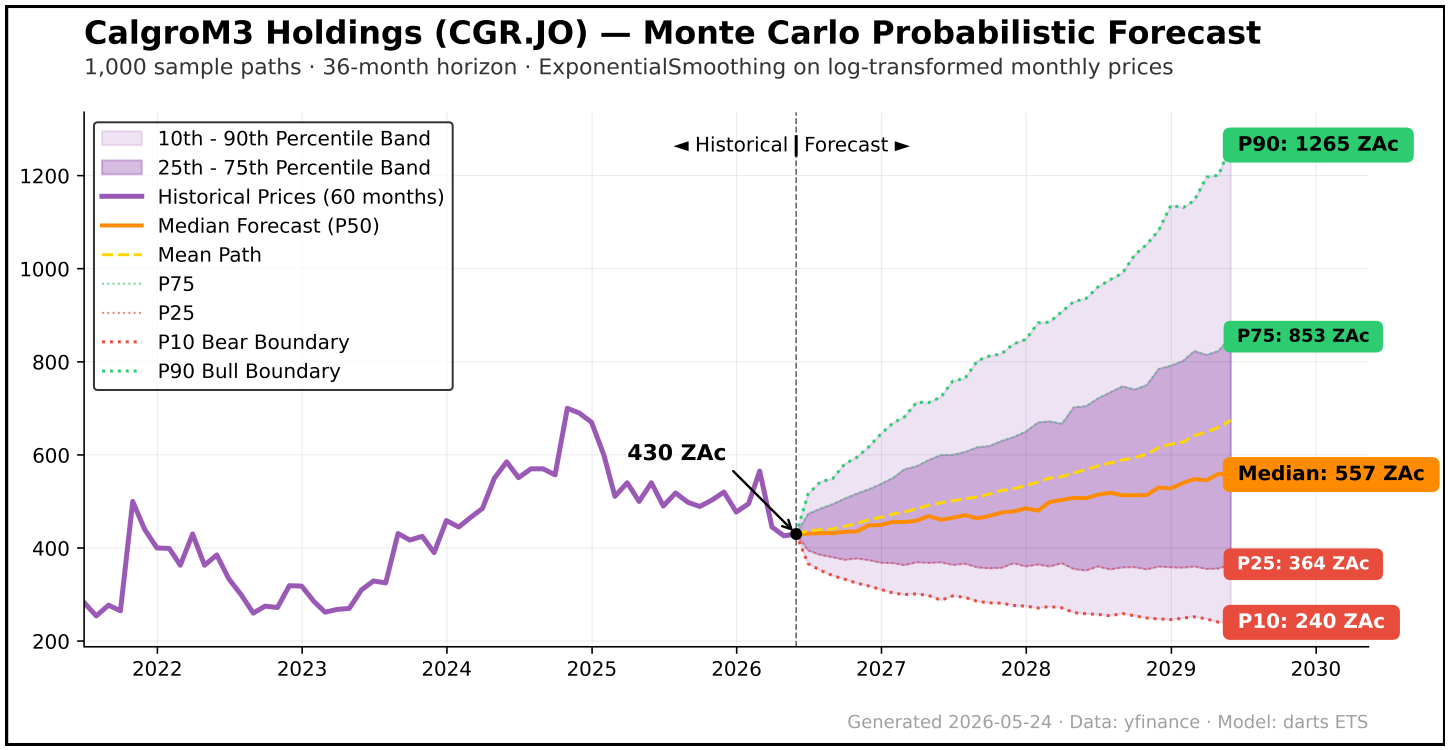
- Interest Coverage & Debt Size: While interest coverage has recovered to 3.93x, the sheer size of the debt facility (R1.38 billion) leaves limited margin for error if the macro environment deteriorates before Bankenveld inflects.

- Capital Allocation: The structural reality of funding dividends and buybacks via debt facility expansion during a capital burn phase raises questions regarding balance sheet prioritisation.

- Municipal Bulk Infrastructure: Calgro cannot control the pace of municipal water, sewage, and electricity connections. Delays here directly defer revenue recognition regardless of internal execution quality.

- Revenue Lumpiness: Inherently structural to the model, creating short-term earnings volatility that shakes out impatient capital before operational inflections occur.

7. Probabilistic Outlook



Simulating 1,000 price paths over a 36-month horizon via a darts ETS model calibrated on 60 months of historical data yields a clear asymmetric distribution (greater upside potential).

From the current price of 430 ZAc:

- The P10 Bear Case (241 ZAc): Reflects the simultaneous materialisation of primary risks - repo rates sustained above 7.25%, GDP contraction, and Bankenveld execution delays pushing break-even beyond FY2030.
- - The P50 Base Case (550 Zac): Reflects a macro environment where rates decline modestly in line with SARB targets, Bankenveld progresses on schedule, and Memorial Parks contributes steady annuities, implying a partial re-rating of the NAV discount.
- - The P90 Bull Case (implies +1277 ZAc): Reflects a full SARB cutting cycle, Bankenveld achieving modelled absorption rates, and institutional re-rating toward tangible book value.

The probability-weighted expected return across the distribution is materially positive, forming the quantitative basis for the recommendation.

8. Recommendation

Calgro M3 is rated **BUY** for investors with a 3 to 5-year investment horizon who can tolerate near-term balance sheet pressure and earnings volatility.

The investment case rests on three pillars:

1. The stock trades at a 65.9% discount to tangible NAV. While a discount is rational given the pre-revenue stage of Bankenveld, it is excessive relative to the predictable cash generation of the legacy IRD and Memorial Parks assets.

2. The J-curve structure provides staggered inflection points, meaning the group is never fully reliant on a single project converting at once.

3. The SARB rate trajectory is a trackable catalyst. A 100-basis point cut acts as the threshold condition for materially improved debt serviceability and expanded consumer affordability.

The stock is explicitly unsuitable for investors requiring near-term income or capital preservation due to the elevated debt load and capital burn profile. For those able to absorb this risk, the target exit range over the 3 to 5-year horizon sits between the 550c and 863c distribution bands as Bankenveld moves from infrastructure to revenue recognition and the NAV discount mechanically closes.

SARB MPC rate decision | Interest rate remains unchanged at 6.75%

This recent central bank briefing confirms the SARB's decision to hold the current repo rate steady, providing the baseline context for the interest rate sensitivities modelled in your analysis.